

ANNEXURE 5 TO THE DIRECTORS’ REPORT

Information required under Section 197 of the Companies Act, 2013 read with Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014

A. Ratio of remuneration paid to each Director to the median remuneration of the employees of the Company and percentage increase in remuneration for the financial year 2021-22 is as follows:

Sr. No.	Name of Director	Designation	Ratio of remuneration of Director to the Median remuneration	% increase
1	Shri M B Parekh	Executive Chairman	63.21	26.65
2	Shri N K Parekh	Vice Chairman	5.86	9.36
3	Shri Bharat Puri	Managing Director	684.00	214.18 #
4	Shri A B Parekh	Executive Vice Chairman	24.04	13.03
5	Shri A N Parekh	Whole time Director	96.67	8.61
6	Shri B S Mehta	Director	5.95	31.86
7	Shri Sanjeev Aga	Director	6.06	20.11
8	Shri Uday Khanna	Director	5.47	21.24
9	Smt. Meera Shankar	Director	4.88	21.23
10	Shri Vinod Kumar Dasari	Director	5.39	25.00
11	Shri Piyush Pandey	Director	4.71	20.41
12	Shri Debabrata Gupta	Whole time Director	42.25	26.31 #
13	Shri Rajeev Vasudeva	Director	5.39	*

B. Percentage increase in remuneration of Chief Financial Officer and Company Secretary for the financial year 2021-22 is as follows:

Sr. No.	Name	Designation	% increase
1	Shri Pradip Menon	Chief Financial Officer	**
2	Shri Puneet Bansal	Company Secretary	**
3	Smt. Manisha Shetty	Company Secretary	**

- Notes:
- 1. The aforesaid details are calculated on the basis of remuneration paid during the financial year 2021-22.
 - 2. The remuneration to Non Executive Directors comprises of sitting fees and commission paid to them during the financial year 2021-22.
 - 3. The median remuneration is ₹ 6,26,246/- for the financial year 2021-22.
 - 4. * % increase in remuneration is not given as Shri Rajeev Vasudeva was appointed as an Independent Director of the Company w.e.f. 10th September, 2020.
 - 5. ** % increase in remuneration not given as the payment for financial year 2021-22 was only for part of the year.
 - 6. # % increase includes perquisites relating to ESOP.
 - 7. The remuneration to Directors is within the overall limis approved by the shareholders.

C. Percentage increase in the median remuneration of employee in the financial year 2021-22: 22.02%

D. Number of permanent employees on the rolls of the Company as on 31st March 2022: 7,622.

E. Average percentage increase already made in the salaries of employees other than the managerial personnel in the last financial year and its comparison with the percentage increase in the managerial remuneration and justification thereof and point out if there are any exceptional circumstances for increase in the managerial remuneration:

Increase in remuneration is based on Remuneration Policy of the Company.

Average increase in salary of all employees in 2021-22 compared to 2020-21: 9.50%

F. Affirmation:

Pursuant to Rule 5(1)(xii) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014, it is affirmed that the remuneration paid to the Directors, Key Managerial Personnel and Senior Management is as per the Remuneration Policy of the Company.

BUSINESS RESPONSIBILITY REPORT

Introduction

Inclusive and sustained growth has been a fundamental element of Pidilite’s strategy. In today’s changing business dynamics, the long-term sustainability of an organisation depends on its ability to meet evolving stakeholders’ expectations and create value. Stakeholders are more aware than ever and expect businesses to operate in a fair and equitable manner.

Over the years, the Company has made progressive advancement across all three dimensions of sustainability. On the economic front, through an appropriate product mix and a good understanding of customer requirements, the Company has been consistently growing its market presence, revenues and profitability following the guiding principles of Business Responsibility (BR) Policies and all applicable laws and regulations. On the environment front, initiatives are focused towards resource optimisation, reduction of waste, energy and emissions across operations. Across the social dimension, the Company undertakes CSR initiatives, under various thematic areas such as education, healthcare, agriculture and horticulture, milk and animal health, women empowerment and rural development for local communities to name a few. In order to further enhance its sustainability performance, the Company endeavours to improve practices across its operations.

The Company has initiated efforts towards development of a sustainability roadmap. This will drive integration of sustainability considerations into core business systems and decision-making. The Company has published its third sustainability report in accordance with GRI Standards for Financial Year 2020-21 on its website <https://www.pidilite.com/sustainability/>.

This report conforms to the Business Responsibility Reporting (BRR) requirement of the Securities & Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (‘SEBI LODR’) and the National Voluntary Guidelines (NVG) on Social, Environmental and Economic Responsibilities of Business released by the Ministry of Corporate Affairs, India.

A] GENERAL INFORMATION ABOUT THE COMPANY

- 1. Corporate Identity Number (CIN) of the Company: L24100MH1969PLC014336
- 2. Name of the Company: Pidilite Industries Limited
- 3. Registered address: Regent Chambers, 7th Floor, Jamnalal Bajaj Marg, 208, Nariman Point, Mumbai – 400 021, Maharashtra
- 4. Website: www.pidilite.com
- 5. E-mail id: investor.relations@pidilite.co.in
- 6. Financial Year reported: 2021-22
- 7. Sector(s) that the Company is engaged in (industrial activity code-wise):
Manufacture of Adhesives and Glues including Rubber based Glues and Adhesives (20295)
- 8. List three key products/services that the Company manufactures/provides (as in balance sheet)
 - (i) Adhesives & Sealants
 - (ii) Construction Chemicals/ Paints Chemicals
 - (iii) Art & Craft MaterialsFor additional information on segment wise products/services, please refer to “Notes to the Financial Statements- Note 42.”
- 9. Total number of locations where business activity is undertaken by the Company:
 - (a) Number of International Locations: 6 Branches and Representative offices (On Standalone basis)
 - (b) Number of National Locations:

Manufacturing locations (States/Union Territories)	8
Regional offices	8
- 10. Markets served by the Company – The Company’s products have a pan India presence and the products are also marketed in several countries like UAE, USA, Bangladesh, Sri Lanka, Nepal, Indonesia, Egypt, Qatar, Oman, Kenya, France, Germany, Italy, Saudi Arabia, Tanzania, Hongkong, UK, Australia, Japan, Canada, Malaysia, Spain, Lebanon, Denmark, South Korea, etc.

B] FINANCIAL DETAILS OF THE COMPANY

(₹ in crores)	
1.	Paid up Capital : 50.83
2.	Total Turnover : 8,298.49
3.	Total profit after taxes : 1,268.62
4.	Total spending on Corporate Social Responsibility (CSR) as percentage of profit after tax (%): CSR spending for the year is ₹ 27.19 crores, which is 2% of the average net profit for the last 3 financial years.
5.	Few activities in which expenditure in 4 above has been incurred
The Company has been supporting Education, Healthcare, Agriculture and Horticulture, Animal Husbandry Initiative, Rural Development, Water Resources Management, Sanitation Initiatives for Women, Farmer Producer Organisation, Skill Development, Swachhta Initiative, Khadi Initiatives, etc.	
For further details please refer to Social and Community Service Initiatives report.	

C] OTHER DETAILS

The Company has 33 subsidiaries, both direct and indirect, as on 31st March, 2022. 13 of these subsidiaries are in India and 20 of them are located abroad.

The Business Responsibility (BR) policies of the subsidiaries are in line with the local requirements. Currently, the subsidiary companies and other entities (suppliers/distributors, etc.) do not participate in BR initiatives of the Company.

D] BR INFORMATION

- (1) Details of the Director/Directors responsible for BR
- (a) Details of the Director/Directors responsible for implementation of the BR policy/policies:

Sr. No.	Particulars	Details
1	DIN Number	00035317
2	Name	Shri A B Parekh
3	Designation	Executive Vice Chairman

- (b) Details of the BR head:

Sr. No.	Particulars	Details
1	DIN Number	01500784
2	Name	Shri Debabrata Gupta
3	Designation	Director – Operations
4	Telephone number	022- 2835 7313
5	e-mail id	debabrata.gupta@pidilite.com

- (2) Principle-wise [as per National Voluntary Guidelines (NVGs)] BR Policy/policies:
- These Principles are as follows:
- Principle 1:** Businesses should conduct and govern themselves with Ethics, Transparency and Accountability (P1).
- Principle 2:** Businesses should provide goods and services that are safe and contribute to sustainability throughout their life cycle (P2).
- Principle 3:** Businesses should promote the wellbeing of all employees (P3).
- Principle 4:** Businesses should respect the interests of, and be responsive towards all stakeholders, especially those who are disadvantaged, vulnerable and marginalized (P4).
- Principle 5:** Businesses should respect and promote human rights (P5).
- Principle 6:** Businesses should respect, protect and make efforts to restore the environment (P6).
- Principle 7:** Businesses, when engaged in influencing public and regulatory policy, should do so in a responsible manner (P7).
- Principle 8:** Businesses should support inclusive growth and equitable development (P8).
- Principle 9:** Businesses should engage with and provide value to their customers and consumers in a responsible manner (P9).
- (a) Details of compliance (Reply in Y/N)

Sr. No.	Questions	P 1	P 2	P 3	P 4	P 5	P 6	P 7	P 8	P 9
1.	Do you have a policy/policies for	Y	Y	Y	Y	Y	Y	Y	Y	Y
2.	Has the policy being formulated in consultation with the relevant stakeholders?	Yes								
3.	Does the policy conform to any national/international standards? If yes, specify? (50 words)	Yes Policies confirm to applicable Statutory Requirements as well as ISO 45001 and ISO 14001 Standards.								
4.	Has the policy being approved by the Board? If yes, has it been signed by MD/ owner/ CEO/ appropriate Board Director?	Yes The policies have been signed by Director- Operations of the Company.								
5.	Does the company have a specified committee of the Board/ Director/ Official to oversee the implementation of the policy?	The implementation and adherence to the Code of Conduct for employees is overseen by the human resource department. The Corporate Social Responsibility Policy is administered by the CSR Committee in line with requirements of the Companies Act, 2013. The Director- Operations is responsible for the implementation of Environment Health and Safety (EHS) policy/ies.								
6.	Indicate the link for the policy to be viewed online?	Policies which are internal to the Company are available on the intranet of the Company. Other policies are available on the website of the Company: www.pidilite.com								
7.	Has the policy been formally communicated to all relevant internal and external stakeholders?	Yes								
8.	Does the company have in-house structure to implement the policy/ policies?	Yes								
9.	Does the Company have a grievance redressal mechanism related to the policy/ policies to address stakeholders' grievances related to the policy/ policies?	Yes								
10.	Has the company carried out independent audit/ evaluation of the working of this policy by an internal or external agency?	External firms were engaged to review the systems, procedures and infrastructure related to safety and environment, and based on their recommendations adequate steps are being taken.								

(3) Governance related to BR

Business Responsibility performance is reviewed, at-least annually, by the Board. The BR Report is part of Annual Report and is published annually. The Annual Report is available on the Company’s website www.pidilite.com.

E] PRINCIPLE-WISE PERFORMANCE

Principle 1: Businesses should conduct and govern themselves with ethics, transparency and accountability:

The Company is committed to adhere to the highest standards of ethical, moral and legal conduct of business operations both for internal and external stakeholders. The Company, in order to maintain these standards has adopted the ‘Code of Conduct’, which lays down the principles and standards that should govern the actions of the employees in the course of conduct of business of the Company. Any actual or potential violation of the Code, howsoever insignificant or perceived as such, would be a matter of serious concern for the Company. There is a Code for each of our subsidiaries in line with the local requirements prevailing in the country of operation.

The Company has a ‘Whistle Blower policy’ which covers serious concerns that could have impact on the operations and performance of the Company.

There were no complaints from shareholders pending at the beginning of the year. The Company received 14 complaints from shareholders during the year which were resolved expeditiously. There were no pending complaints at the end of the year.

Principle 2: Businesses should provide goods and services that are safe and contribute to sustainability throughout their life cycle:

The products developed and provided in market are safe for use and meet the standards as per applicable statutory requirements. The products exported internationally are in compliance with applicable regulations of the relevant countries.

Some of the products offered by us contribute to sustainability such as: -

- a. Waterproofing products which save structures from deterioration and improve the overall life of such structures.
- b. Products for walls and roofs which improve thermal insulation and save energy.
- c. High quality adhesives for making furniture, footwear, etc. which prolong the life of such products.
- d. Repair and maintenance products which allows such articles to be repaired and reused rather than being thrown away.

In addition to the above, the Company has mechanisms in place to recycle the following wastes:

- 1. Waste generated out of packaging plastic is recycled through authorized recyclers.
- 2. Ash generated from boilers is recycled.
- 3. Most spent solvents are redistilled and recycled.
- 4. Hazardous waste is co-processed and used as a fuel in the cement industry, wherever permitted by regulations.
- 5. Through authorised recyclers of Multi Layered Plastic (MLP) packing material used for our products, we recycled / co-processed 100% of such MLP packing material.

Principle 3: Businesses should promote the well being of all employees:

The Company is focused towards building progressive and best-in-class people policies on work life balance, career progression, development and employee engagement. The Company’s “Happy and Healthy” (HAH) movement saw great participation with over 73% of the employees engaging in HAH activities.

As on 31st March 2022, the total number of permanent employees on the payroll of the Company was 7,622 and the total number of employees hired on temporary /contractual/casual basis was 3,130. The permanent women employees were 472 and permanent employees with disabilities were 15. There are no employee association that is recognized by the management. The details of complaints filed during the financial year are as under:

Sr. No.	Category	No. of complaints filed during the financial year	No. of complaints pending as on end of the financial year
1.	Child labour / forced labour / involuntary labour	Nil	Nil
2.	Sexual harassment	1	Nil
3.	Discriminatory employment	Nil	Nil

Safety and skill upgradation programmes are provided from time to time to the employees and over a period of time most of the employees are covered under such programmes. Employees are encouraged to participate in safety programmes and be acquainted with the safety measures.

Principle 4: Businesses should respect the interests of, and be responsive towards all stakeholders, especially those who are disadvantaged, vulnerable and marginalized:

The Company has identified its internal and external stakeholders and endeavours to maintain healthy engagement with these stakeholders which allows active participation and collaboration wherever possible.

With an objective to be responsive towards stakeholders who are disadvantaged, vulnerable or marginalized, the Company continues to build on its unique initiative ‘WAGALE’ (Wanchan-Ganan-Lekhan) which has helped students with lesser learning abilities through online training sessions. The Company also facilitates scholarships to the deserving and qualified students, having limited financial means for pursuing higher education. An initiative called “Chalo School Firse Pukare” was implemented in mission mode to motivate students to return to school and the students were welcomed by dignitaries, teachers and staff of the school. Gifts like masks and pens were given so they had a feel-good factor on the first day itself.

For further details please refer to Social and Community Service Initiatives report.

Principle 5: Businesses should respect and promote human rights:

The Human Resource and Human Rights Policy is applicable to all the employees of the Company and its subsidiaries, joint ventures and associate entities.

It is the Company’s policy to ensure that there is no discrimination based on caste, gender, religion etc. The Company also takes care to ensure that no person below the age of 18 years is employed anywhere in the Company or in the units undertaking job work activities for the Company. It is also the Company’s policy that key vendors supplying goods/services to the Company should not employ any child labour.

There have been no complaints received in the year under review, relating to any human rights issue.

Principle 6: Businesses should respect, protect and make efforts to restore the environment:

In Bhavnagar district, in cooperation with Gujarat Government, the Company has undertaken large scale watershed development work. This involves building of check dams, ponds, recharging of wells as well as desilting of existing water structures. This has resulted in recharging of ground water in several parts of the district. Additionally, regular tree plantation drives have been undertaken through farmer clubs, schools and other local organisations.

Majority of the boilers are being operated with green fuel (Biomass) in place of fossil fuels. The Company generates renewable energy through windmill and solar power units. Additional solar power units are being installed at various manufacturing unit locations.

Over 78% of our 51 units have been converted into zero discharge to external environment and over a period of time, the Company intends to convert many more units into zero discharge, as well as increase the usage of renewable sources of energy.

During the financial year 2021-22, the emissions/ waste generated by the Company were within the permissible limits prescribed by the State and Central Pollution Control Board.

Principle 7: Businesses when engaged in influencing Public and Regulatory Policy, should do so in a responsible manner:

The Company has its representation in several business and industrial association and is a member of the following trade / chamber / association:

- Federation of Indian Chambers of Commerce and Industry
- Indian Chemical Council
- Confederation of Indian Industry
- Economic Research India Pvt. Ltd.
- Bombay Chambers of Commerce and Industry

The Company, through its employees and representatives, actively participates in the deliberations at these trade/ chamber/ associations relating to environment, sustainability, trade and economic reforms etc. and making representations to the relevant regulatory bodies during the framing of legislations/ guidelines/ policies.

Principle 8: Businesses should support inclusive growth and equitable development:

The Company has been actively supporting several initiatives including self-help groups of women aimed at improving their economic standing and supporting farmers in ways to improve yield of the farm lands.

These initiatives are implemented by the Company mainly through the implementing agencies as given in the Social and Community Service Initiatives section and Annexure 1 to the Directors’ Report.

Principle 9: Businesses should engage with and provide value to their customers and consumers in a responsible manner:

The Company provides all relevant information regarding a product for the user through product labelling, product literature, our website and our apps. We take great care to connect with our users and provide them information about how to use the products in a safe and effective manner.

Our sales force remains in regular touch with the customers and collects relevant feedback from them relating to their concerns, their expectations or complaints. Customer feedback or complaints received from all sources is adequately addressed in a time bound manner. As at the end of financial year, there were 11 consumer cases pending which majorly relate to perceived deficiency in waterproofing done by third party applicators.

We take care to ensure that our businesses do not indulge in any unfair trade practices or anti-competitive practices.

STANDALONE
FINANCIAL
STATEMENTS